No. 97-475 SEP 11 1997

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IN THE

Supreme Court of the United States

OCTOBER TERM, 1997

EL AL ISRAEL AIRLINES, LTD.,

Petitioner,

—v.—

TSUI YUAN TSENG,

Respondent.

ON PETITION FOR A WRIT OF CERTIORARI TO THE UNITED STATES COURT OF APPEALS FOR THE SECOND CIRCUIT

PETITION FOR WRIT OF CERTIORARI

DIANE WESTWOOD WILSON
Counsel of Record
CONDON & FORSYTH
1251 Avenue of the Americas
New York, New York 10020
(212) 921-5100

Attorneys for Petitioner
EL AL ISRAEL AIRLINES, LTD.

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QUESTIONS PRESENTED FOR REVIEW

(1) Whether the Warsaw Convention, a treaty of the United States, exclusively governs and precludes any recovery for a passenger's injuries sustained in the course of "international transportation" if the injuries were not caused by an "accident" within the meaning of Article 17 of the Convention?

(2) Whether the rule of strict treaty construction must be applied to the written notice of claim provisions prescribed by Article 26 of the Convention?

PARTIES TO THE PROCEEDINGS BELOW

The parties before the Court and to the proceedings below are:

(1) Petitioner EL AL ISRAEL AIRLINES, LTD.

(2) Respondent TSUI YUAN TSENG.

CORPORATE AFFILIATIONS

(1) EL AL ISRAEL AIRLINES, LTD. is an "agency or instrumentality of a foreign state" within the meaning of 28 U.S.C. § 1603 because a majority of its shares are, and have been at all relevant times, owned by the Government of Israel.

(2) EL AL ISRAEL AIRLINES, LTD.'s subsidiaries (other than wholly owned subsidiaries) are Maman Cargo Terminals and Handling Ltd., Taman Aircraft Food Industries Ltd., North American Airlines and Borenstein Caterer's, Inc.

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PETITION FOR WRIT OF CERTIORARI

Petitioner EL AL ISRAEL AIRLINES, LTD. (EL AL) respectfully requests that a writ of certiorari issue to review the judgment and opinion of the United States Court of Appeals for the Second Circuit entered June 13, 1997.

OPINIONS BELOW

The opinion of the Court of Appeals for the Second Circuit has not yet been officially reported. *See Tseng v. EL AL Israel Airlines, Ltd.*, ___ F.3d ___, Nos. 96-7447, 96-7619, 1997 WL 353230 (2d Cir. June 13, 1997), App. 1a-23a.[1]

[1] References to the Appendix are indicated as App. __a.

The opinion of the United States District Court for the Southern District of New York (Stanton, J.) is reported at 919 F. Supp. 155 (S.D.N.Y. 1996), App. 24a-33a.

JURISDICTION

The Judgment of the Court of Appeals for the Second Circuit was entered June 13, 1997. The jurisdiction of the Court is invoked under 28 U.S.C. § 1254(1).

TREATY PROVISIONS INVOLVED

The articles of the Warsaw Convention[2] expressly involved are Articles 1, 17, 24 and 26.

Article 1(1) of Chapter I, Scope—Definitions, provides:

> (1) This convention shall apply to all international transportation of persons, baggage, or goods performed by aircraft for hire. It shall apply equally to gratuitous transportation by aircraft performed by an air transportation enterprise.

49 Stat. 3014.

Article 17 of Chapter III, Liability of the Carrier, provides:

> The carrier shall be liable for damage sustained in the event of the death or wounding of a passenger or any other bodily injury suffered by a passenger, if the accident which caused the damage so sustained took place on board the aircraft or in the course of any of the operations of embarking or disembarking.

49 Stat. 3018.

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[2] Convention for the Unification of Certain Rules Relating to International Transportation by Air, concluded at Warsaw, Poland, October 12, 1929, 49 Stat. 3000 T.S. No. 876, 137 L.N.T.S. 11 (1934), *reprinted in* 49 U.S.C. § 40105 (1997) (note).

Article 24 of Chapter III, Liability of the Carrier, provides:

(1) In the cases covered by articles 18 and 19 any action for damages, however founded, can only be brought subject to the conditions and limits set out in this convention.

(2) In the cases covered by article 17 the provisions of the preceding paragraph shall also apply, without prejudice to the questions as to who are the persons who have the right to bring suit and what are their respective rights.

49 Stat. 3020.

Article 26 of Chapter III, Liability of the Carrier, provides:

(1) Receipt by the person entitled to the delivery of baggage or goods without complaint shall be *prima facie* evidence that the same have been delivered in good condition and in accordance with the document of transportation.

(2) In case of damage, the person entitled to delivery must complain to the carrier forthwith after the discovery of the damage, and, at the latest, within 3 days from the date of receipt in the case of baggage and 7 days from the date of receipt in the case of goods. In case of delay the complaint must be made at the latest within 14 days from the date on which the baggage or goods have been placed at his disposal.

(3) Every complaint must be made in writing upon the document of transportation or by separate notice in writing dispatched within the times aforesaid.

(4) Failing complaint within the times aforesaid, no action shall lie against the carrier, save in the case of fraud on his part.

49 Stat. 3020.

STATEMENT OF THE CASE

Respondent Tsui Yuan Tseng sued EL AL in the Supreme Court of the State of New York, New York County. She alleged assault, false imprisonment and property damage in connection with a security screening of plaintiff conducted by EL AL prior to her travelling on an EL AL flight to Israel. EL AL removed the case to federal court under 28 U.S.C. §§ 1331 and 1441 because EL AL is a "foreign state" within the meaning of 28 U.S.C. § 1603. Following a non-jury trial, the district court dismissed plaintiff's personal injury claims and awarded damages with respect to her baggage claim. The court of appeals reversed the dismissal of the personal injury claims, affirmed the property damage award without comment and remanded the case to the district court to address the issue of recovery for plaintiff's personal injury claims under state law.

A. Nature of the Case

On May 22, 1993, plaintiff arrived at the EL AL terminal at John F. Kennedy International Airport in New York to travel on EL AL flight 008 to Israel. Upon presenting her ticket and passport to a security guard, plaintiff was admitted into the EL AL terminal. Plaintiff then approached the security area and, in accordance with standard EL AL pre-boarding procedures, was questioned about her destination and travel plans. Based on plaintiff's responses to these questions, she was considered a "high risk" passenger with an "illogical story." Plaintiff was escorted into a private EL AL security room where her baggage and person were searched. EL AL was searching for "[e]xplosives in any size, detonators, . . . from small, like the cap of the pen, and . . . up from that." Defendant did not, at any time, use force to question or search plaintiff and plaintiff did not, at any time, object to the search.

The parties do not dispute that plaintiff was in the course of embarkation of her "international transportation" by EL AL when she allegedly sustained her emotional injuries.

Plaintiff testified that she discovered items were missing from her carry-on baggage during the flight and from her checked baggage when she arrived in Tel Aviv, but does not dispute that it was forty (40) days after her flight when she first notified EL AL in writing that various items in her baggage were missing or had been damaged, and when she first ever claimed that she had been "badly treated" during the security screening procedure. Plaintiff testified that she had made a telephone call to EL AL in Israel to make a complaint about her baggage, but that she was told to make her complaint in the United States.

B. Proceedings Below

The Complaint seeks damages arising out of the alleged assault and false imprisonment of plaintiff and for lost and/or damaged property. Although the Complaint alleges that the pre-boarding search was performed in connection with plaintiff's flight to Israel, it does not make reference to the Warsaw Convention or assert any rights thereunder.

EL AL timely removed the action to the district court on the basis that EL AL is a foreign state within the meaning of 28 U.S.C. § 1603.

A non-jury trial was held March 7, 8 and 11, 1996 before the Honorable Louis L. Stanton of the United States District Court for the Southern District of New York.

At the conclusion of the trial, Judge Stanton ruled, in accordance with his decision in *Shen v. Japan Airlines*, 918 F. Supp. 636 (S.D.N.Y.), *aff'd mem*, 43 F.3d 1459 (2d Cir. 1994), that: (1) EL AL's allegedly offensive security search of plaintiff Tseng constituted an "accident" under Article 17; (2) although EL AL's security suspicions may have been

mistaken, there was no evidence of wilful misconduct; and (3) plaintiff is not entitled to any recovery for her emotional distress injuries because she sustained no bodily injury. App. 27a-28a.

The district court also ostensibly applied the Warsaw Convention to plaintiff's property damage claim. Although the district court noted that plaintiff failed to timely submit written notice of her claim to EL AL, as required by Article 26 of the Convention, the court concluded that EL AL's alleged instruction to plaintiff that she should make a claim in the United States (presumably rather than advising plaintiff to put her claim in writing) constituted fraud, negating the Article 26 written notice requirement. App. 30a-31a.

Plaintiff appealed to the United States Court of Appeals for the Second Circuit pursuant to 28 U.S.C. §§ 2106 and 2107, seeking to reverse the dismissal of plaintiff's emotional distress claims. EL AL cross-appealed pursuant to 28 U.S.C. § 1291, seeking to vacate the property damage award on the basis that the award improperly failed to uphold the fraud standard expressly prescribed by Article 26(4) of the Convention.

On appeal, the Second Circuit held that: (1) plaintiff's personal injuries were not the result of an "accident" within the meaning of Article 17 of the Convention; (2) the Warsaw Convention does not exclusively govern *all* of plaintiff's claims, *i.e.*, the Convention applied to plaintiff's property damage but not her personal injury claims; and (3) plaintiff is entitled to seek recourse under state law for her personal injury claims. The decision, entered June 13, 1997, reversed and remanded the District Court judgment with respect to plaintiff's personal injury claims and affirmed without comment the property damage award. A motion to recall and stay the mandate (issued July 8, 1997) was granted September 8, 1997.

REASONS FOR GRANTING THE PETITION

Certiorari should be granted to resolve a direct conflict among the Second, Third and Fifth Circuit Courts of Appeals as to whether the Warsaw Convention, a treaty of the United States, exclusively governs and precludes state law causes of action for a passenger's injuries sustained in the course of "international transportation" if the injuries were not caused by an "accident" within the meaning of Article 17 of the Convention.

At issue is the exclusive applicability of the Warsaw Convention to personal injury claims sustained in the course of "international transportation" by air which are not caused by an "accident" under Article 17. In this case, the court below concluded that, because the security search of passenger Tseng did not constitute an "accident" (App. 12a), the injuries arose "outside" the Convention even though plaintiff indisputably was in the course of embarkation. App. 23a. The court below thus was able to conclude that plaintiff's state law claims are not precluded by the Warsaw Convention. *Id.*

The basic error of the court below was its determination that the Convention does not apply if a passenger's alleged injuries are not caused by an Article 17 "accident." The decision begins with the faulty premise that Article 17 must "apply" for the Convention to govern a passenger's claims, fails to read the express language of the Warsaw Convention as a whole and rests on a mistaken understanding of the historical basis for the Convention.

It is important to resolve the issues raised in this petition because of the clear and present conflict which exists among the Circuits. *See Tseng v. EL AL Israel Airlines, Ltd.* (Second Circuit); *Potter v. Delta Air Lines*,[3] (Fifth Circuit); *Abramson v. Japan Airlines Co. Ltd.*,[4] (Third Circuit); *see also Krys v.*

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[3] 98 F.3d 881 (5th Cir. 1996).

[4] 739 F. 2d 130 (3d Cir. 1984), *cert. denied*, 430 U.S. 1059 (1985).

Lufthansa German Airlines,[5] (Eleventh Circuit). The House of Lords of the United Kingdom, the court of last resort of a sister signatory to the Convention, recently addressed Articles 17 and 24 of the Convention in *Abnett v. British Airways plc*.[6] Lord Browne-Wilkinson, for the court, concluded: "I see no escape from the conclusion that, where the Convention has not provided a remedy, no remedy is available." App. 65a.

The issues presented by this certiorari petition transcend the facts of this case and have universal applicability to all claims arising out of "international transportation" by air. The Court has twice declined to address the issue of the exclusivity of the Convention. App. 14a, *citing*, *Eastern Air Lines v. Floyd*, 499 U.S. 530, 553 (1991) ("The Court of Appeals did not address this question [of exclusivity] and we did not grant certiorari to consider it. We therefore decline to reach it here."); *Air France v. Saks*, 470 U.S. 392, 408 (1985) ("Expressing no view on the merits of this contention [that the passenger can seek recourse under state law], we note that it is unclear from the record whether the issue was raised in the Court of Appeals.") Unless resolved by the Court, international passengers' rights and remedies with respect to air carriers will remain unsettled. The Court should resolve the exclusivity issue to ensure the clear and consistent application of the terms of a treaty to which the United States is a party.

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[5] ___ F.3d ___, No. 96-4430, 1997 WL 450150 (11th Cir. Aug. 25, 1997).

[6] [1997] 1 All E.R. 193 (H.L. 1996) (U.K).

I

CERTIORARI SHOULD BE GRANTED TO RESOLVE A DIRECT CONFLICT AMONG DECISIONS OF THE CIRCUIT COURTS OF APPEALS AND TO ENFORCE THE EXPRESS LANGUAGE OF A TREATY TO WHICH THE UNITED STATES IS A PARTY

The Court has granted certiorari in the past to ensure the correct interpretation and application of the Warsaw Convention. *Chan v. Korean Air Lines*, 490 U.S. 122 (1989).[7] The Court should grant certiorari in this case to provide a clear pronouncement as to the scope of the Convention. Just as an "adequate notice" requirement could not properly be read into the Convention based on the premise that courts have generally read such a requirement into the Convention (*Chan*, 490 U.S. at 134 n. 5), a right of recourse under state law should not be read into Article 17 based on the premise that some courts have read such a right into this treaty.

The Court, in *United States v. Belmont*, 301 U.S. 324 (1937), recognizing that the provisions of a treaty are exclusive of all local laws on the subject matter dealt with by the treaty, held:

> In respect of all international negotiations and compacts, and in respect of our foreign relations generally, state lines disappear. As to such purposes the State of New York does not exist. Within the field of its powers, whatever the United States rightfully undertakes, it necessarily has warrant to consummate. And when judicial authority is invoked in aid of such consummation, state constitutions, state laws, and state policies are irrelevant to the inquiry and decision. It is inconceivable that any

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[7] The Court's decision in *Chan* resolved the conflict between the Second and Fifth Circuits and the District of Columbia Circuit as to the correct interpretation of Article 3 of the Convention.

> of them can be interposed as an obstacle to the effective operation of a federal constitutional power.

301 U.S. at 331-32.

As Justice Scalia confirmed in *Chan*, "we must be governed by the text." 490 U.S. at 134. The Court should resolve the present conflict among the circuits because denial of certiorari would permit further judicial intrusion into the subject matter of this treaty and perpetuate the conflict.

In 1984, the Court of Appeals for the Third Circuit ruled in *Abramson* that the district court erred in failing to address state law causes of action after concluding that the passenger's injuries "[did] not constitute an 'accident' " under Article 17. 739 F.2d at 133. The Court denied Japan Airlines' certiorari petition.

Twelve years later, the Court of Appeals for the Fifth Circuit squarely held in *Potter* that Article 17 creates the exclusive cause of action and the exclusive remedy for all claims arising out of "international transportation" by air. The Fifth Circuit's decision in *Potter* resulted in a direct conflict between the Third and Fifth Circuits with respect to the issue of exclusivity, but the plaintiff in *Potter* did not seek certiorari.

The Fifth Circuit in *Potter*, unlike the court below (App. 15a), upheld the preemptive scope of Article 24(2). The Fifth Circuit stated:

> Mrs. Potter thus reads the preemption language in article 24(2) to prohibit state law causes of action only where a claim has been adjudicated an "accident" and deemed compensable under the Warsaw Convention. We disagree.

98 F.3d at 884 (footnotes omitted).

The decision below reaffirmed the live and direct conflict between the decisions of the Third and Fifth Circuits as to the proper interpretation of the Warsaw Convention and affords

the Court a ripe opportunity for review of this important issue.

The court below noted that the Supreme Court has not answered the question whether a plaintiff denied a remedy under Article 17 of the Convention may pursue recovery for those injuries under state law. App. 2a. In the absence of such guidance, the court below elected to apply *dictum* from its decision in *In re Air Disaster at Lockerbie, Scotland on Dec. 21, 1988*, 928 F.2d 1267, 1271 (2d. Cir.), *cert. denied*, 502 U.S. 920 (1991), to conclude that a plaintiff may seek recovery under state law when recovery is not permitted under the Warsaw Convention. App. 15a. The court below, accordingly, held that, because plaintiff's injuries were not the result of an Article 17 "accident," she was entitled to seek recovery under state law. App. 23a.

The decision below starts with the faulty premise that "the terms of the Convention do not apply" *unless* there is an Article 17 "accident." App. 7a; *see also* App. 8a ("Article 17 applies where . . . "); App. 10a ("the term 'accident' has been held not to apply"). Unlike the Fifth Circuit, the Second Circuit found that the preemptive language found in Article 24 applies only where there is an "accident" under Article 17. App. 15a-16a. The Second and Fifth Circuits also disagree as to whether the Convention's goal of uniformity is feasible and sufficiently compelling to supplant state law with respect to the issue of liability of the air carrier. *See Potter*, 98 F.3d at 885; App. 21a.

Two (2) months after the lower court's decision in this case, the Eleventh Circuit in *Krys* concluded that plaintiff's damages from an in-flight heart attack were not caused by an "accident" under Article 17 and permitted plaintiff to seek recovery under state law. The Eleventh Circuit, acknowledging the clear conflict among the Circuits, declined to address the issue of exclusivity, which it concluded had not

been preserved in that case. *Krys*, 1997 WL 450150 at n.8 *comparing Abramson* and *Tseng* with *Potter*.

The decisions addressing Articles 17 and 24 are in clear conflict as to the proper interpretation and application of this treaty. Review by the Court is necessary to resolve this conflict and to prevent similar confusion in the future.

II

THIS CASE RAISES RECURRING, IMPORTANT AND UNRESOLVED QUESTIONS INVOLVING THE CORRECT INTERPRETATION OF A TREATY OF THE UNITED STATES

Review of the decision below is appropriate in order to settle recurring, significant issues concerning the breadth of application of this treaty.

A. The Issue of Exclusivity is Repeatedly Addressed by the Courts

As a treaty of the United States, the Warsaw Convention is the supreme law of the land. U.S. Const. art. VI, cl. 2.; *Chan*, 470 U.S. 392. The court below nevertheless declined to apply the Convention's liability provisions to plaintiff's personal injury claims because she is not entitled to any recovery under the Convention. The court below based its decision on its conclusion that the Convention does not preclude claims based on state law so long as recovery for such claims is not expressly provided for in the Convention. App. 20a.[8] The fre-

[8] The court below also rationalized its decision, in part, on the erroneous conclusion that the Convention was drafted to protect the "fragile fledgling [airline] industry." App. 22a. The drafting history of the Convention reflects the drafters' compromise with respect to passengers, between no liability and imposing unlimited liability, and was recognized by the French delegate who noted:

> Those who did not participate in the work of the CITEJA and who read this article [22] can imagine that it creates a favorable system

quency with which federal courts must address the issue of the exclusivity of the Warsaw Convention and its inconsistent interpretations is demonstrated by the *Potter* decision, rendered two (2) weeks prior to the oral argument of this case in the court below, and the *Krys* decision, rendered two (2) months after the decision below.

Moreover, the issue whether the Warsaw Convention exclusively governs a plaintiff's claims arising out of "international transportation" has not been limited to the *Abramson*, *Potter*, *Tseng*, and *Krys* decisions. Every time a summons and complaint is issued against an air carrier seeking damages arising out of "international transportation," the carrier now must assess its liability exposure to the passenger dependent on the jurisdiction in which the summons was issued and whether the plaintiff has artfully pleaded his allegations in an attempt to avoid the potentially limited right to, or amount of, recov-

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in favor of the carrier. They say: Why not apply the common law to him?

Well, in reality, this Convention creates against the air carrier an exceptional system, because in the majority of the countries of the world, contracts of carriage are concluded under a system of free contract. The carrier is free to insert in the contract clauses which exclude or reduce his liability, as much for goods as for travelers. You are of course aware that they have lost no opportunity to do so, and presently many air carriers operate under this unregulated contractual system, and, in practice, in fact they are not liable.

One has desired to impose upon them a compulsory system of liability . . . [I]t was natural not to impose on them common law liability. It's in the spirit of compromise that one has said: All that can be asked from the air carrier is to take reasonable measures to avoid the damage, to have his aircraft in good flying condition, and to make sure that they are well flown.

Second International Conference on Private Aeronautical Law Minutes (Warsaw, 1929) (R. Horner & D. Legrez trans. 1975) at 47-48; *see also Id.* at 213 (British delegate noted that Article 24 "excludes recourse to common law"); *Id.* at 65 (Italian delegate emphasized that "recourse to national law must be ruled out").

ery under the Warsaw Convention. *See Potter*, 98 F.3d at 896.[9]

The Court has twice declined to address the issue of the exclusivity of the Convention. App. 14a, *citing, Eastern Airlines v. Floyd*, 499 U.S. 530, 553 (1991); *Saks*, 470 U.S. at 408. Accordingly, the scope of the Convention remains undefined and inconsistently applied. The resulting inconsistent application of the Convention is particularly troubling in light of its expressed goals of uniformity and certainty. The court below declined to uphold the interest of uniformity on the ground that "such a goal has not always been found feasible in all areas of international travel." App. 21a. The court below cited *Zicherman v. Korean Air Lines*, 116 S. Ct. 629 (1996), for the proposition that "the Convention expresses no compelling interest in uniformity that would warrant . . . supplanting an otherwise applicable body of law, here state law." *Id. Zicherman*, however, addresses the issue of the *measure* of recovery under the Convention, which this Court specifically

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[9] *See also Garcia v. Aerovias de Mexico*, 896 F. Supp. 1216 (S.D. Fla. 1995); *Alvarez v. Servicios Aereos de Honduras*, 24 Av. Cas. (CCH) 17,888 (S.D. Tex. Jan. 11, 1994); *Luna v. Compania Panamena De Aviacion*, 851 F. Supp. 826 (S.D. Tex. 1994); *Jack v. Trans World Airlines*, 820 F. Supp. 1218 (N.D. Cal. 1993); *Velasquez v. Aerovias Nacionales de Colombia*, 747 F. Supp. 670 (S.D. Fla. 1990). *Contra De Estenssoro v. American Jet*, 944 F. Supp. 813 (C.D. Cal. 1996); *Campos v. Sociedad Aeronautica De Medillin Consolidada*, 882 F. Supp. 1056 (S.D. Fla. 1994); *Pittman v. Grayson*, 869 F. Supp. 1065 (S.D.N.Y. 1994); *Walker v. Eastern Air Lines*, 775 F. Supp. 111 (S.D.N.Y. 1991), *reargument denied*, 785 F. Supp. 7168 (1992); *Rhymes v. Arrow Air*, 636 F. Supp. 737 (S.D. Fla. 1986); *Alvarez v. Aerovias Nacionales de Colombia*, 756 F. Supp. 550 (S.D. Fla. 1991).

State courts also apply inconsistent interpretations of the Convention. *Compare Cortes v. Delta Air Lines*, 638 So. 2d 108 (Fla. 3d D.C.A. 1994) ("plaintiff had attempted to put the liability cart before the jurisdictional horse") *with Koehler v. Scandinavian Airlines System*, 674 N.E.2d 112 (Ill. App. 1 Dist. 1996) (court refused to address jurisdictional requirements of Article 28 because there was no Article 17 "accident"), *leave to appeal denied*, 677 N.E.2d 966 (Ill. 1997).

found had been intended by the drafters to be a matter of each state's law. 116 S. Ct. at 634 (Article 17 leaves to domestic law what passengers "may be compensated for"). The treaty's goal of uniformity, however, should be upheld with respect to the fundamental issue of liability.

The conflict between the Second and Fifth Circuits is evidenced in the Fifth Circuit's foreshadowing of the dangers associated with disregarding the Convention's goal of uniformity:

> The Convention's express limitation on individual recovery of $75,000, see article 22(1), would be circumvented entirely, and airlines would be subject to distinct choice of law rules and substantive law provisions depending upon the forum in which suit was brought. . . . [P]laintiffs, if permitted to file state law causes of action, could forum-shop for jurisdictions with friendly substantive laws on recovery of damages for personal injury and thus could undermine the Convention's goal of uniformity. Plaintiffs could plead artfully their complaints to avoid characterizing the damages as resulting from an "accident," thereby creating an opt-out from the Convention's liability constraints.

Potter, 98 F.3d at 886 (footnote omitted).

Furthermore, the Second and Fifth Circuits expressly disagree on the proper application of the Court's decision in *Zicherman*. The Fifth Circuit points out that the drafters of the Convention expressly provided when state law should apply. *See Potter*, 98 F.3d at 886 ("where the drafters of the Convention concluded that uniformity could not be achieved, they provided expressly for recourse to local law"), *citing*, *Zicherman*, 116 S. Ct. 629. In contrast, the court below concluded:

> We have read *Zicherman* to instruct specifically that the Convention expresses no compelling interest in unifor-

> mity that would warrant us in supplanting an otherwise applicable body of law, here state law.

App. 21a.

To avoid the perhaps harsh result that a passenger injured in the course of "international transportation" may not be entitled to any recovery under the Convention, the decision of the court below has effectively subordinated the supreme law of the land to the common law of the several states.

B. The Decision Below Conflicts With a Decision of the Court of Last Resort of a Sister Signatory to the Convention

In addition to the recurrent confusion and conflict among the courts of the United States over the proper interpretation of the Convention, the decision of the court below conflicts with the decision of a sister signatory to the Warsaw Convention. In December 1996, the House of Lords resolved the issue of exclusivity for actions brought in the United Kingdom in *Abnett v. British Airways plc*.[10] The House of Lords upheld the exclusivity of the Warsaw Convention and recognized that "it appears that the point is not settled in the United States as between circuits and even in some instances within the same circuit." App. 61a. The House of Lords further noted that "there was no clear or very consistent line of reasoning in these cases. . . in this area of international air law" and that "it was impossible to draw any clear conclusion as to the state of U.S. law. . . ." *Id.* The House of Lords, finding no guidance from the United States as to whether the

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[10] The construction of the Convention by sister signatories is "entitled to considerable weight." App. 19a (*quoting Saks*, 470 U.S. at 404). The decision of the House of Lords was brought to the attention of the court below pursuant to Rule 28(j) of the Federal Rules of Appellate Procedure. The decision below makes reference to *Sidhu v. British Airways*, referring to the second action in the caption of the consolidated proceedings, which was an appeal from a decision by the English Court of Appeal. *Abnett* was the appeal from the Court of Session of Scotland.

Convention provides a passenger's exclusive right of recourse for injuries sustained during international air transportation, concluded: "As matters have developed it will ultimately be for the Supreme Court of the United States of America to offer guidance to the American judges on this issue. . ." App. 63a.

Disagreeing with the Third Circuit and the court below, the House of Lords concluded that Article 17 is intended to provide exhaustively for the circumstances under which a carrier may be liable for bodily injury. App. 55a; App. 18a.

C. The Warsaw Convention and the IATA Intercarrier Agreement Both Require Resolution of the Issue of Exclusivity

The decision below contains an erroneous balancing of the need to protect the passenger today and the air carrier of 1929, and makes reference to the effect of the International Air Transport Association Intercarrier Agreement on Passenger Liability (IATA Intercarrier Agreement) on the application of the Warsaw Convention to a passenger's bodily injury claims arising out of "international transportation."[11] App. 22a. The IATA Intercarrier Agreement "abandon[s] the Convention's liability cap and imposes[es] strict liability up to $145,000." App. 22a. The IATA Intercarrier Agreement also imposes presumptive liability for unlimited damages.[12]

The determination of a plaintiff's ability to recover under the new Intercarrier Agreement hinges on the finding of an

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[11] *International Air Transport Association: Agreement Relating to Liability Limitations of the Warsaw Convention*, approved by D.O.T. Order 97-1-2, 1997 WL 4834 (D.O.T. Jan. 8, 1997).

[12] For a detailed, informative discussion of the IATA Intercarrier Agreement *see* Desmond T. Barry, Jr. and Thomas J. Whalen, *Unlimited Liability: The New Ball Game in International Transportation by Air*, 64 DEF. COUNS. J. 381 (July 1997).

Article 17 "accident." Absent resolution of the issue of Warsaw Convention exclusivity, the issue will remain unresolved as to whether a finding that an injury was not the result of an Article 17 "accident" (1) enables a passenger to seek recovery under common law, or (2) precludes a plaintiff from seeking any recovery from the carrier. A definitive interpretation of the Convention's scope is critical to the determination whether an air carrier has presumptive liability or, possibly, no liability under the Warsaw Convention, as modified by the Intercarrier Agreement.

D. The Court Should Apply the Rule of Strict Treaty Construction to the Written Notice Provisions Prescribed By Article 26 of the Convention

The proper application of the express written notice of claim provisions set forth in Article 26 also is a significant issue of treaty interpretation. Despite Article 26(4), which expressly provides that "no action shall lie against the carrier, save in the case of fraud on his part," the court below implicitly rewrote the terms of this treaty when it failed to overturn plaintiff's baggage damage award. The court below should have addressed the district court's failure to uphold the express fraud standard necessary to overcome the written notice of claim provisions prescribed by Article 26.

It is undisputed that failure to provide a carrier with timely written notice bars a plaintiff's claim for damages with respect to baggage or cargo absent a showing of fraud. Plaintiff does not dispute that she did not provide written notice of her claim to EL AL (alleging that various items in her baggage were missing or had been damaged) until 40 days after her flight. The court below should have enforced Article 26(4) because the evidence did not rise to the requisite level of fraud so as to circumvent the Article 26 express written notice provisions.

In *Chan*, Justice Scalia clearly stated:

> We must thus be governed by the text—solemnly adopted by the governments of many separate nations—whatever conclusions might be drawn from the intricate drafting history that petitioners and the United States have brought to our attention. The latter may of course be consulted to elucidate a text that is ambiguous. But where the text is clear, as it is here, we have no power to insert an amendment. . .

490 U.S. at 134 (citation omitted).

In this case, Articles 26(2), (3) and (4) are unambiguous. Because plaintiff failed to provide timely written notice of her baggage claim. Article 26 permits no recovery from EL AL unless plaintiff proves the requisite elements of fraud. Plaintiff Tseng's trial testimony failed to meet the fraud standard required by Article 26(4). The Court should apply the rule of strict treaty construction to Article 26, as it did in *Chan*, to ensure that the courts of the United States do not engage in further judicial treaty making on this issue. Courts should not be free to reduce the fraud standard set forth in Article 26(4) to avoid its terms. Contrary to the express terms of the Warsaw Convention, the decision of the court below upholds the "right" of every shipper or consignee making a cargo claim and every passenger making a baggage claim to disregard a clear and unambiguous prescription set forth in this treaty.

In summary, the court below has incorrectly decided recurring, important questions of treaty law on which the courts of the United States are in disarray. The proper interpretation of this treaty, which is a matter of importance to the courts, to EL AL and all other international air carriers and to the travelling public, should be reviewed and settled by the Court in order to ensure the uniform and proper application of this treaty and to end the conflict among the Second, Third and Fifth Circuit Courts of Appeals.

CONCLUSION

For these reasons, the petition for a writ of certiorari should be granted.

Respectfully submitted,

Diane Westwood Wilson
Counsel of Record
CONDON & FORSYTH
1251 Avenue of the Americas
New York, New York 10020
(212) 921-5000

Counsel for Petitioner
EL AL ISRAEL AIRLINES, LTD.

Of Counsel:

Stephen J. Fearon
Debra A. Shields
James G. Hnat II

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